

THE STRATEGY

The objective of this strategy is to catch small moves after a price consolidation with the help of 9 and 21 Exponential Moving Averages in the intraday segment. These EMAs are of much shorter length than usual and need to have a strong price push in either direction. In the history of price action analysis, the price has given a good move after breaking the consolidation range.

The buy entry is triggered when the 9 EMA crosses the 21 EMA from below and the sell entry is triggered when the 9 EMA crosses the 21 EMA from above.



In the above images, you can figure out why taking trades after a certain period of consolidation gives the best trades. Consolidation, when breaks, have the dominance of either parties with a strong sentiment (Buyers and sellers). Therefore, it's better to use this strategy when you see a consolidation range forming.